Earn in USD Legally from Home: Form W-8BEN

How International Contractors Work for U.S. Companies with 0% U.S. Tax

- You do NOT need a U.S. visa or Green Card to earn from U.S. clients.
- Under U.S. Internal Revenue Code, remote services abroad are foreign-source.
- IRS Form W-8BEN certifies your foreign status to your U.S. payor.
- Zero (0%) U.S. Federal withholding tax is deducted on foreign contractor pay.

KEY TAKEAWAY / ACTION:

Legally compliant for software engineers, designers, VAs & consultants.

The 'Situs of Services' Rule Explained

26 U.S. Code §§ 861 and 862 Demystified

- **Rule:**
  Compensation for labor or personal services performed outside the U.S. is treated as gross income from sources outside the United States.

- **Payor Location:**
  It does NOT matter that the paying company is based in Delaware or California.

- **Physical Presence:**
  What matters is where your hands touch the keyboard.

KEY TAKEAWAY / ACTION:

If you perform work outside the U.S., it is 100% exempt from U.S. income tax.

Form W-8BEN: Line-by-Line Breakdown

The 5 Key Lines Non-Resident Aliens Must Complete

- **Line 1:**
  Legal Name as shown on passport.
- **Line 2:**
  Country of Citizenship.
- **Line 3:**
  Permanent foreign residence address (No U.S. P.O. Boxes).
- **Line 6a:**
  Foreign Tax Identifying Number (Your local country TIN / NID).
- **Part III:**
  Certification signature and date confirming beneficial ownership.

KEY TAKEAWAY / ACTION:

Form W-8BEN is valid for 3 full calendar years from signature date.

Compliant Invoicing & Banking Infrastructure

How to Structure Contracts for Direct Wire Transfers

- **Contract Type:**
  Independent Contractor Agreement (ICA) / B2B Master Services.
- **Direct USD Rails:**
  Wise Business, Payoneer USD Receiving Account, or Swift.
- **Invoice Fields:**
  Your legal entity/name, invoice number, description, net terms.
- **Tax Reporting:**
  Your client files Form 1042-S if required, with 0% withholding.

KEY TAKEAWAY / ACTION:

Never let a U.S. client send Form W-9; W-9 is strictly for U.S. persons.

How to Pitch U.S. Startups as an Overseas Contractor

Remove Legal and Administrative Friction for U.S. Founders

- **Say This:**
  'I contract under standard IRS Form W-8BEN with 0% U.S. tax withholding.'
- **Reassure Them:**
  'No foreign entity registration or payroll setup is needed.'
- **Deliverables Focus:**
  Quote monthly retainer or milestone-based contracts.
- **Timezone Overlap:**
  Offer 3-4 hours of daily Pacific/Eastern timezone overlap.

KEY TAKEAWAY / ACTION:

Founders love contractors who handle their own international paperwork.

Your Remote USD Contractor Checklist

Get Compliant and Start Applying This Week

- **Step 1:**
  Download and fill IRS Form W-8BEN in advance.
- **Step 2:**
  Set up a USD receiving account (Wise, Payoneer, or foreign currency bank).
- **Step 3:**
  Create a clean single-page B2B consulting invoice template.
- **Step 4:**
  Browse verified U.S. remote openings hiring globally.

■ KEY TAKEAWAY / ACTION:

Validate your Form W-8BEN for free: uscareersolutions.online/tools/w8ben